CONTRACTS
Kevin Davis
Section 2, Fall 2026

General Information

Class meetings

This class will meet on Tuesdays and Thursdays 11:00 a.m.-1:00 p.m., in FH 216.

Review sessions

The teaching assistants will hold review sessions focused on pre-assigned problems roughly every two weeks, at varying times.

Materials

The required materials for this course are:

- Farnsworth et al., Contracts: Cases and Materials (10th ed.) ("C&M")
- Farnsworth et al., Selections for Contracts (any recent edition) ("SEL")
- Supplementary materials ("SUPP") and problems posted on Brightspace

It is strongly recommended that you purchase physical copies of these materials as there is no guarantee that you will be able to access electronic versions during the final examination.

Students seeking additional materials may wish to consult Farnsworth's treatise, entitled simply Contracts, or Blum, Contracts: Examples & Explanations, both of which are on reserve.

Evaluation

Grades will be based primarily on scores on the final examination, but I reserve the right to take classroom performance into account when assigning final grades. I expect students to attend class and arrive prepared to discuss the day's assignment, including the assigned problems, when called upon. If, however, circumstances prevent you from either attending class or being fully prepared on any given day, please feel free to notify me before the class begins. You need not explain the reason and no penalty will be assessed so long as these notifications are not too frequent.

Contact information

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Laptop policy

Laptops are permitted in class, but only for the purposes of note-taking.

Class recordings

Access to recordings will only be permitted in the event of excused absences.

Reading Assignments[1]

Basic concepts

1. Overview 1–13; SUPP
    - Hawkins v. McGee (both excerpts)
    - Bayliner Marine v. Crow
    - Theories of Promissory Liability
    - Apple Licensed Applications End User License Agreement

2. Introduction to remedies 13–36, 44–48
    - Sullivan v. O'Connor
    - Applying the Interests Problem
    - United States Naval Institute v. Charter Communications
    - Morris v. Sparrow
    - White v. Benkowski
    - The Economics of Remedies: An Introductory Note
    - Remedies in Action

3. Consideration and formalities 49–68, 117–120, 371–383; SEL; SUPP
    - Fundamentals of Consideration
    - Hamer v. Sidway
    - Dyer v. National By-Products
    - Substitutes for Consideration
    - The Statute of Frauds: Introduction
    - Tolosa v. HSBC
    - Restatement §§ 71, 79, 81
    - NY Gen Oblig § 5-1105
    - CISG, Art. 11

4. Consideration and interpretation 101–117; SEL
    - Mattei v. Hopper
    - Structural Polymer Group v. Zoltek
    - Wood v. Lucy, Lady Duff Gordon
    - Contract in Wood v. Lucy (SEL)
    - UCC § 2-306

[1] Unless otherwise noted, page references are to C&M. Provisions of the Restatement of the Law, Second, Contracts ("Restatement"), Restatement of the Law Consumer Contracts, ("RLCC") and Article 2 of the Uniform Commercial Code ("UCC") can be found in SEL. Only the principal cases, agreements, and notes to be covered under each heading are listed here; other cases and materials may be included in the assignment.

5. Promissory estoppel and restitution 69-74, 120–130, 135–146; SEL
    - Ricketts v. Scothorn
    - From Equitable to Promissory Estoppel
    - Feinberg v. Pfeiffer
    - Cohen v. Cowles Media
    - D&G Stout v. Bacardi Imports
    - Restitution as an Alternative Basis for Recovery
    - Restatement § 90

Contract formation and defenses

6. Assent and Intent to be Legally Bound 169-191; SUPP; SEL
    - Lucy v. Zehmer
    - Balfour v. Balfour
    - Specht v. Netscape Communications
    - RLCC § 2(a),(c)

7. Offer and acceptance 191–192, 198–205, 213–225, 227–229, 235–242, 261-263
    - Lefkowitz v. Great Minneapolis Surplus Store
    - Wucherpfennig v. Dooley
    - International Filter v. Conroe Gin, Ice & Light
    - White v. Corlies & Tifft
    - Silence not Ordinarily Acceptance
    - The Significance of Contract Formation for Antidiscrimination Law
    - Termination of the Power of Acceptance
    - The Mailbox Rule

8. Contract formation under Restatement §§ 45, 90 and Article 2 of the UCC 246–259, 269–283; SEL; SUPP
    - Notes on the Scope of Article 2 and Firm offers under Article 2
    - Drennan v. Star Paving
    - Dorton v. Collins & Aikman
    - C. Itoh (America) v. Jordan
    - UCC §§ 2-204–2-207
    - NY Gen Oblig § 5-1109

9. Formation and interpretation: Battle of the forms; Pay now, terms later 284–304; SEL
    - Bayway Refining v. Oxygenated Marketing & Trading A.G.
    - Northrop v. Litronic Industries
    - Hill v. Gateway 2000
    - Klocek v. Gateway
    - RLCC § 2(b),(c)
    - UCC § 2-207

10. The requirement of definiteness, precontractual liability and preliminary agreements 190–191 (review), 326-327, 333–370; SUPP
    - Teachers' Insurance & Annuity Association v. Tribune
    - Dixon v. Wells Fargo, N.A.
    - Cyberchron v. Calldata Systems Development
    - Channel Home Centers, Division of Grace Retail v. Grossman
    - Sun Printing & Publishing v. Remington Paper & Power
    - Oglebay Norton v. Armco
    - French Civil Code, Art. 1112

11. Contract modifications 470–484; 487–492; SEL
    - Alaska Packers' Ass'n v. Domenico
    - Watkins & Son v. Carrig
    - Austin Instrument v. Loral Corporation
    - Restatement §§ 89, 175, 176
    - RLCC § 3
    - UCC § 2-209
    - NY Gen Oblig § 5-1103

12. Fraud and misrepresentation 508–526; SUPP
    - Swinton v. Whitinsville Sav. Bank
    - Kannavos v. Annino
    - Speakers of Sport v. ProServ
    - Vokes v. Arthur Murray
    - Psenicska v. Twentieth Century Fox Film
    - Borat Release

Interpretation

13. The parol evidence rule 527–530, 535-547; SEL; SUPP
    - Gianni v. Russell
    - Masterson v. Sine
    - Bollinger v. Central Pennsylvania Quarry Stripping and Construction
    - TeeVee Toons v. Gerhard Schubert
    - Note on No-oral-modification clauses
    - Restatement §§ 209, 210, 213–216
    - RLCC §§ 8, 9
    - UCC § 2-202
    - CISG, Art. 8

14. The plain meaning rule and extrinsic evidence of parties' intent 548–569, 574-575; SUPP
    - Pacific Gas & Electric v. G.W. Thomas Drayage & Rigging
    - W.W.W. Associates v. Giancontieri
    - Greenfield v. Philles Records
    - Trident Center v. Connecticut General Life Ins.
    - Methods of Interpreting Ambiguous Contracts
    - Canons of Construction
    - Hall and Elliot, Can AI Fix Bad Rules?

15. Extrinsic evidence of past dealings 575–599; SEL
    - Frigaliment Importing v. B.N.S. International Sales
    - Hurst v. W.J. Lake
    - Nanakuli Paving & Rock v. Shell Oil
    - Figgie International v. Destileria Serralles
    - Columbia Nitrogen v. Royster
    - Restatement §§ 20, 200–204
    - UCC §§ 1-303, 2-202

16. Performing in good faith 719–744; SUPP; SEL
    - Dalton v. Educational Testing Service
    - Northwest v. Ginsberg
    - Market Street Associates v. Frey
    - Bloor v. Falstaff Brewing
    - Contract in Bloor v. Falstaff Brewing (paragraphs 1, 2(a), 8(a))
    - Ng Giap v. Westcomb Securities
    - RLCC § 4

Limits on the bargain and its performance

17. Standard form and adhesion contracts 653–655, 661–679; SEL; SUPP
    - Carnival Cruise Lines v. Shute
    - Graham v. Scissor-Tail
    - Doe v. Great Expectations
    - Restatement § 211
    - RLCC § 8
    - EU Directive on Unfair Terms in Consumer Contracts and associated Notifications

18. Unconscionability 679–706
    - Williams v. Walker-Thomas Furniture
    - Stoll v. Xiong
    - Anderson v. Binance
    - RLCC § 6

19. Public policy 744–764, 769-780; SUPP
    - Blossom Farm Products v. Kasson Cheese
    - X.L.O. Concrete v. Rivergate
    - Hassler v. Circle C Resources
    - FTC Removal of the Non-Compete Rule

Conditions and excuses

20. Express and constructive conditions 805–809, 814–824, 828–832, 846–855, 871–875, 883–893
    - Luttinger v. Rosen
    - Peacock Construction v. Modern Air Conditioning
    - Gibson v. Cranage
    - Kingston v. Preston
    - Jacob & Youngs v. Kent
    - Gill v. Johnstown Lumber
    - Nelson v. Hazel
    - McKenna v. Vernon

21. Mistake, impracticability and frustration 1073–1081, 1101–1120, 1132–1136
    - Stees v. Leonard
    - Renner v. Kehl
    - Taylor v. Caldwell
    - Transatlantic Financing Corporation v. United States
    - *Force majeure* clause
    - Krell v. Henry

Remedies

22. Specific relief 34–43, 929–930, 945-950; SUPP
    - Klein v. Pepsico
    - Walgreen v. Sara Creek Property
    - Specific enforcement in French Contract Law
    - The Economics of Remedies: An Introductory Note (plus video lecture)
    - Commonwealth v. Cosby[1]

23. Cost of performance or value of performance; Losing contracts 954–958, 968–982, 988–992; SEL
    - Plante v. Jacobs
    - Groves v. John Wunder
    - Peevyhouse v. Garland Coal & Mining
    - Contract in Peevyhouse v. Garland Coal & Mining
    - United States v. Algernon Blair

24. Limitations on damages 992–997, 1009–1021, 1024–1040
    - Rockingham County v. Luten Bridge
    - Parker v. Twentieth Century-Fox
    - Hadley v. Baxendale
    - Kenford v. County of Erie
    - Fera v. Village Plaza

25. Stipulated remedies 1043–1064
    - Figgie International v. Destileria Serralles
    - Dave Gustafson v. State
    - Lake River v. Carborundum
    - Wasserman's v. Township of Middleton
    - Penalty clauses in Swiss law

[1] This case involves allegations of sexual assault.

Third parties: rights and responsibilities

26. Third party beneficiaries, delegation and assignment 1163–1178, 1194–1196, 1200–1206, 1215–1216, 1226–1227
    - Lawrence v. Fox
    - Seaver v. Ransom
    - Sisney v. State
    - Sisney v. Reisch
    - Introductory material on vesting of third-party rights
    - Introductory material on delegation of duties
    - Introductory material on assignment of rights